

CAR LEASE AGREEMENT - COMPACT VERSION

Agreement Date: January 24, 2026

Lease Reference Number: LEASE-2026-009847

1. THE PARTIES

LESSOR: Elite Motors Finance Limited

- Address: 890 Corporate Park, Bangalore – 560001, Karnataka, India
- Contact: +91-80-5678-1234
- Email: leasing@elitemotors.co.in
- Authorized Signatory: Vikram Reddy, Lease Director

LESSEE: Sanjay Kumar

- Date of Birth: 10th November, 1989
 - PAN: CUKPS7654M
 - Aadhar Number: 9123 4567 8901
 - Address: Apt 402, Tech Gardens, Whitefield, Bangalore – 560066
 - Contact: +91-99234-56789
 - Email: sanjay.kumar89@email.com
 - Occupation: Software Architect
 - Employment: InnovateTech Solutions, Bangalore
 - Annual Income: ₹26,50,000 (Gross)
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2. VEHICLE SPECIFICATIONS

- **Make and Model:** Honda Accord 2.0L Petrol Sedan
 - **Variant:** V Automatic CVT
 - **Color:** Meteorite Grey
 - **Vehicle Identification Number (VIN):** 1HGCM82633A004352
 - **Registration Year:** 2026
 - **Engine Number:** K20Z2E123456
 - **Chassis Number:** HM4EK20633A004352
 - **On-Road Price:** ₹20,75,000
 - **New Vehicle - Current Odometer:** 8 km (delivery mileage)
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3. LEASE TERM

- **Lease Duration:** 42 months (3.5 years)
 - **Commencement Date:** March 5, 2026
 - **Termination Date:** September 4, 2029
 - **Lease Reference:** LEASE-2026-009847
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4. FINANCIAL TERMS

4.1 Down Payment

- **Amount:** ₹4,15,000 (20% of vehicle price)
- **Due Date:** Upon Agreement execution
- **Status:** Non-refundable

4.2 Monthly Lease Payment

- **Amount:** ₹16,750 per month
- **Due Date:** 12th of every calendar month
- **First Payment:** April 12, 2026
- **Total Payments:** 42 EMIs
- **Total Amount Payable:** ₹7,03,500

4.3 Payment Components

Component	Amount (₹)
Depreciation	9,100
Interest (APR 8.50%)	5,200
Maintenance & Admin	2,100
GST (5%)	350
Total Monthly	16,750

4.4 One-Time Charges

- Processing Fee: ₹2,500
 - Documentation: ₹1,800
 - Total Upfront: ₹4,300
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5. ANNUAL PERCENTAGE RATE (APR)

- **APR:** 8.50% per annum
- **Money Factor:** 0.00354 (APR ÷ 2,400)
- **Monthly Interest Calculation:** $0.00354 \times (\text{Net Cap Cost} + \text{Residual Value})$
- **Calculation Example:** $0.00354 \times (\text{₹16,60,000} + \text{₹7,12,500}) = \text{₹5,200 (approx)}$

- **Rate Lock:** Fixed for entire 42-month lease period; no variation due to market changes
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6. RESIDUAL VALUE AND DEPRECIATION

- **Residual Value:** ₹7,12,500
- **Residual as % of Price:** 34.35% of on-road price (₹20,75,000)
- **Monthly Depreciation:** ₹9,100
- **Calculation:** (₹16,60,000 - ₹7,12,500) ÷ 42 months = ₹9,100

Net Cap Cost: ₹16,60,000 (vehicle price after down payment of ₹4,15,000)

At Lease End: If actual value < residual value, Lessee liable for difference (capped at 3× monthly payment = ₹50,250). Gap Insurance covers this shortfall if opted.

7. MILEAGE ALLOWANCE AND CHARGES

7.1 Allowed Mileage

- **Total Allowance:** 63,000 km (42 months)
- **Annual Limit:** 18,000 km per year
- **Monthly Average:** 1,500 km
- **Calculation:** 42 months ÷ 12 months × 18,000 km = 63,000 km

7.2 Excess Mileage Charges

Excess Amount	Charge Per Km
0 – 7,000 km	₹16
7,001 – 14,000 km	₹19
14,001+ km	₹22

Example: If Lessee drives 68,000 km (5,000 km excess), charge = 5,000 × ₹16 = ₹80,000

Payment: Due at lease end or upon early termination; collected from security deposit if applicable.

8. INSURANCE AND MAINTENANCE

8.1 Comprehensive Motor Insurance

- **Coverage:** Own damage, third-party liability, theft, natural calamities, personal accident
- **Premium:** Included in monthly lease payment
- **Deductible:** ₹11,000 per claim
- **Lessor as Loss Payee:** Yes, named on policy
- **Duration:** Entire 42-month lease period with annual renewal

8.2 Maintenance Coverage (Included)

- Scheduled servicing (every 5,000 km)
- Oil, filter, and fluid changes
- Brake pads, belts, hoses (wear items)
- Air filter replacement
- Spark plug checks and maintenance
- **Service Only At:** Authorized Honda service centers

8.3 Optional Gap Insurance

- **Premium:** ₹7,500 (one-time, optional)
- **Coverage:** Covers gap between insurance settlement and outstanding lease balance in case of total loss
- **Example Benefit:** If insurance pays ₹12,00,000 but outstanding balance is ₹14,00,000, Gap Insurance covers ₹2,00,000 shortfall

9. WEAR AND TEAR POLICY

9.1 Acceptable Wear (No Charge)

- Minor scratches (<3mm) on exterior paint
- Light interior wear, surface marks on upholstery
- Normal tire wear to legal limit (1.6mm tread depth)
- Minor window chips <3mm not affecting visibility
- Light dashboard or steering wheel fading
- Removable stains on carpets/seats (cleanable)

9.2 Excess Damage Charges

Damage Type	Typical Charge
Deep dents (>25mm)	₹5,500 – 16,000
Cracked windshield (>10mm)	₹9,000 – 13,000
Torn upholstery/major rips	₹3,500 – 10,000
Major paint damage/rust	₹9,000 – 23,000
Dashboard cracks	₹4,500 – 11,000
Engine/transmission damage	Full repair cost + ₹15,000
Flood or water damage	Full vehicle replacement value
Accident damage	Full repair cost (insurance claim settled)

Inspection Process: Final inspection conducted 5-7 days before lease termination; Lessee has 10 days to dispute charges with evidence.

10. EARLY TERMINATION CLAUSE

10.1 Early Termination Fee Structure

Termination Period	Penalty Amount
Before 12 months	₹80,000 + remaining balance
12-24 months	₹55,000 + remaining balance
24-36 months	₹35,000 + remaining balance
36-42 months	₹18,000 + remaining balance

10.2 Conditions for Early Termination

- No payment defaults in entire lease period
- Mileage within pro-rated allowance:
 - At 12 months: Max 18,000 km
 - At 24 months: Max 36,000 km
 - At 36 months: Max 54,000 km
- Vehicle in acceptable condition (normal wear only)
- Comprehensive insurance valid through termination date
- 30 days' written notice to Lessor required

10.3 Outstanding Balance Calculation

Outstanding Balance = Remaining EMI Payments + Early Termination Fee + Residual Value Adjustment + Excess Charges

Example (Termination at 30 months):

- Remaining EMIs (12 months): $12 \times ₹16,750 = ₹2,01,000$
- Early Termination Fee: ₹35,000
- Residual Value Adjustment: ₹0 (if mileage and condition acceptable)
- Total Due: ₹2,36,000

11. PURCHASE OPTION AT LEASE END

- **Purchase Price:** ₹7,12,500 (residual value)
- **Payment Method:** Lump sum or bank financing
- **Timeline:** On or before September 4, 2029 (lease termination date)
- **Ownership Transfer:** Full ownership transfers to Lessee upon payment receipt
- **Registration Transfer:** Lessor assists in vehicle registration transfer to Lessee's name
- **Warranty Status:** Manufacturer warranty (3 years/100,000 km) remains valid post-purchase

Conditions for Exercise:

- Total mileage $\leq$ 63,000 km
- Vehicle condition: Normal wear and tear only
- All excess mileage charges settled
- All wear & tear charges settled
- Comprehensive insurance valid through lease end date

If Purchase Not Exercised: Vehicle returned to Lessor; Lessee has options to return, extend lease, or upgrade to new vehicle.

12. LATE FEES AND PAYMENT DEFAULT

12.1 Late Payment Charges

Days Late	Charge Amount
1-10 days	Grace period (no charge)
11-20 days	₹850 or 7% of monthly EMI, whichever is higher
21-30 days	₹2,250 or 11% of monthly EMI, whichever is higher
Beyond 30 days	₹5,000 + 12% annual interest on overdue amount

Example: If ₹16,750 EMI is 15 days late:

- Late Fee = 7% of ₹16,750 = ₹1,173 (in addition to EMI)

12.2 Default Consequences

- Credit score impact (reported to CIBIL, Experian, Equifax)
- Formal demand notice issued
- Interest acceleration on remaining lease balance
- Vehicle repossession initiated after 45 days of default
- Legal recovery action and damages claim
- Forfeiture of security deposit (if provided)

12.3 Security Deposit (Optional)

- **Amount:** ₹50,250 ($3 \times$ monthly EMI of ₹16,750)
 - **Purpose:** Protection against payment defaults, excess mileage, wear & tear charges
 - **Refund Timeline:** Within 30 days of lease end after settling all charges
 - **Deduction Order:** 1) Excess mileage, 2) Wear & tear damage, 3) Late fees/defaults
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13. VEHICLE USE RESTRICTIONS

Permitted Use: Personal and business commuting only (office travel, family use, weekend trips, medical emergencies)

Prohibited Use:

- Taxi/ride-sharing services (Uber, Ola, Meru, Lyft)
- Goods transportation/delivery services
- Commercial rental services
- Off-road driving, muddy terrain, or racing activities
- Towing heavy loads or trailers
- Carrying hazardous, flammable, or explosive materials
- Unlicensed mechanical modifications
- Pledging vehicle as collateral for loans
- Operating without valid insurance or registration

Penalty for Violation: Immediate lease termination + recovery of full vehicle replacement cost (₹20,75,000) + early termination penalties + legal damages claim.

14. MAINTENANCE AND SERVICE COVENANTS

The Lessee shall:

1. **Service Every 5,000 km or 3 months** (whichever comes first) at authorized Honda service center only
2. **Maintain Complete Service Records** with original receipts; provide to Lessor upon request
3. **Use OEM Spare Parts Only** – no aftermarket or non-genuine components
4. **Check Fluids Monthly** – engine oil, coolant, brake fluid, windshield washer
5. **Rotate Tires Every 10,000 km** to ensure even wear and extend tire life
6. **Maintain Valid PUC Certificate** as per RTO pollution standards
7. **Report Mechanical Issues Immediately** – do not operate with known defects
8. **Renew Road Tax and Registration** on time; Lessor bears road tax, Lessee bears registration renewal

Breach Consequences: Forfeiture of manufacturer warranty coverage + potential lease termination + recovery of maintenance-related vehicle damage.

15. END-OF-LEASE PROCEDURES

15.1 End-of-Lease Notification

Lessor notifies Lessee **60 days before September 4, 2029** (lease termination) regarding:

- Vehicle return procedures and location
- Final inspection schedule and requirements
- Available options (purchase at ₹7,12,500, return vehicle, extend lease, upgrade)
- Outstanding charges or credits (if any)

15.2 Final Inspection Schedule

- **Inspection Window:** August 28 – September 3, 2029 (5-7 days before lease end)
- **Location:** Authorized Honda service center or Lessor's facility
- **Duration:** 1-2 hours for thorough assessment
- **Documentation:** Detailed photographic inspection report with odometer reading

15.3 Vehicle Return Condition Requirements

Vehicle must be returned in following condition:

- **Mechanical:** Drivable condition (engine starts, brakes functional, steering responsive)
- **Cleanliness:** Clean interior and exterior (professional detailing recommended)
- **Fuel:** Fuel tank $\geq$ 1/4 full (or Lessee pays refueling charge ₹350-450)
- **Documentation:** 2 sets of keys, owner's manual, service booklet, all original accessories
- **Accessories:** Original floor mats, seat covers, spare wheel intact

15.4 Final Settlement Calculation

Item	Amount
Security Deposit (if provided)	+₹50,250
Excess Mileage Charges (if any)	-₹ charged @ rate structure
Wear & Tear Damage (if any)	-₹ charged per damage list
Outstanding EMI/Payments (if any)	-₹ charged
Late Fees or Penalties (if any)	-₹ charged
Insurance Deductible Recovery (if claim)	-₹ charged
Net Refund or Amount Due	Calculated & settled

Example Settlement:

- Security Deposit: +₹50,250
 - Excess Mileage (3,000 km $\times$ ₹16): -₹48,000
 - Wear & Tear (dent repair): -₹7,500
 - Net Refund: -₹5,250 (payable to Lessee) or +₹5,250 (due from Lessee)
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16. DISPUTE RESOLUTION AND GOVERNING LAW

16.1 Jurisdiction and Governing Law

- **Governing Law:** Laws of India, particularly Indian Contract Act, 1872; Motor Vehicles Act, 1988; Consumer Protection Act, 2019
- **Exclusive Jurisdiction:** Courts in Bangalore, Karnataka, India
- **Venue:** All legal proceedings filed in Bangalore district courts only

16.2 Grievance Resolution Process

Step 1 (Days 1-10): Contact Customer Service at +91-80-5678-1234; written complaint to leasing@elitemotors.co.in

Step 2 (Days 11-20): Escalate to Grievance Redressal Officer at grievance@elitemotors.co.in with supporting documents

Step 3 (Days 21-60): Third-party mediation by independent mediator; both parties participate in good faith

Step 4 (Day 61+): Legal action in Bangalore courts; binding arbitration per Arbitration and Conciliation Act, 1996

16.3 Consumer Protection Rights

Lessee entitled to consumer protection under Consumer Protection Act, 2019:

- Right to file complaint with District Consumer Protection Authority (free of charge)
- Right to seek compensation for defects or service failures
- Right to refund if product defective and cannot be repaired
- No cost to Lessee for filing consumer complaints

17. GENERAL PROVISIONS

17.1 Entire Agreement

This Lease Agreement (including all schedules, appendices, amendments) constitutes the complete and entire agreement between Lessor and Lessee; all prior understandings and communications are superseded.

17.2 Confidentiality and Data Privacy

Both parties maintain confidentiality of information except as required by law, regulatory authorities (RBI, SEBI, RTO, income tax), or for credit reporting. Personal data processed per Information Technology Act, 2000 and Digital Personal Data Protection Act, 2023.

17.3 Assignment and Transfer

- **Lessor's Right:** May assign/sell lease to any third party, bank, NBFC, or financial institution without Lessee's consent (per RBI guidelines)
- **Lessee's Restriction:** May not assign any rights or obligations without Lessor's prior written consent
- **Lease Transfer Fee:** ₹5,000 (if Lessee seeks Lessor's approval for reassignment)

17.4 Force Majeure

Neither party liable for failure due to circumstances beyond reasonable control (natural disasters, war, pandemics, government actions, lockdowns). **Exception:** Lessee's obligation to pay monthly EMI continues; temporary suspension only if formally granted in writing by Lessor.

17.5 Amendments and Modifications

Any modifications to lease terms:

- Require written consent from both parties
- Must be documented through formal addendum/amendment deed
- Executed by authorized representatives of both parties
- Effective from specified date only (no retroactive effect)

18. ACKNOWLEDGMENT AND ACCEPTANCE

The Lessee hereby irrevocably acknowledges and confirms:

1. Lessee has carefully read and fully understood all terms and conditions of this Lease Agreement
2. Lessee had adequate time to review the Agreement and seek independent legal counsel if desired
3. Lessee is entering into this Agreement voluntarily without duress, coercion, or undue influence
4. Lessee accepts all terms and conditions exactly as stated herein
5. Lessee understands all rights, obligations, and consequences outlined in this Agreement
6. Vehicle shall be used only for permitted purposes stated in Section 13
7. Lessee has provided accurate, complete, and truthful information in all application forms
8. Lessee confirms vehicle is leased (not owned); ownership remains with Lessor throughout 42-month lease term

19. SIGNATURES

FOR ELITE MOTORS FINANCE LIMITED:

Signature: _____

Name: Vikram Reddy

Title: Lease Director

Date: _____

Corporate Stamp: [Lessor's Official Seal]

FOR THE LESSEE:

Signature: _____

Name: Sanjay Kumar

Date of Birth: 10-Nov-1989

Contact: +91-99234-56789

Date: _____

WITNESS:

Signature: _____

Name: _____

Title/Designation: _____

Date: _____

20. QUICK REFERENCE SUMMARY

Term	Value
Lessee	Sanjay Kumar
Vehicle	Honda Accord 2.0L Petrol V Automatic CVT
VIN	1HGCM82633A004352
Lease Period	42 months (Mar 5, 2026 – Sep 4, 2029)
Down Payment	₹4,15,000 (20% of ₹20,75,000)
Monthly Payment	₹16,750
APR	8.50% per annum
Money Factor	0.00354 (APR ÷ 2,400)
Total Lease Payments	₹7,03,500 (42 × ₹16,750)
Residual Value	₹7,12,500 (34.35% of on-road price)
Mileage Allowance	63,000 km (18,000 km/year avg)
Excess Mileage Charge	₹16-22 per km (escalating)
Late Fees	7-12% of EMI + flat charges
Early Termination Fee	₹18,000 – ₹80,000 (by period)
Purchase Option	₹7,12,500 at lease end
Insurance Deductible	₹11,000 per claim
Gap Insurance (Optional)	₹7,500 (one-time)
Security Deposit (Optional)	₹50,250 (3 × monthly EMI)

KEY DATES TO REMEMBER

- **Agreement Date:** January 24, 2026
- **Lease Commencement:** March 5, 2026
- **First EMI Due:** April 12, 2026
- **Mid-Term Inspection:** ~September 5, 2027 (18 months)
- **Final EMI Due:** September 12, 2029
- **Lease Termination:** September 4, 2029
- **End-of-Lease Inspection Window:** August 28 – September 3, 2029

- **Purchase Option Decision Deadline:** September 4, 2029

END OF COMPACT CAR LEASE AGREEMENT

Prepared for AI/LLM Dataset Training – Sample Agreement for Contract Analysis & NLP Processing

Disclaimer: All details are fictional sample data created for machine learning training purposes. Any resemblance to actual persons, companies, vehicles, or real agreements is purely coincidental.